



Morgan Stanley Global Macro Forum

Reading the Signals: Moonshot, Macro Data, and Bank Earnings

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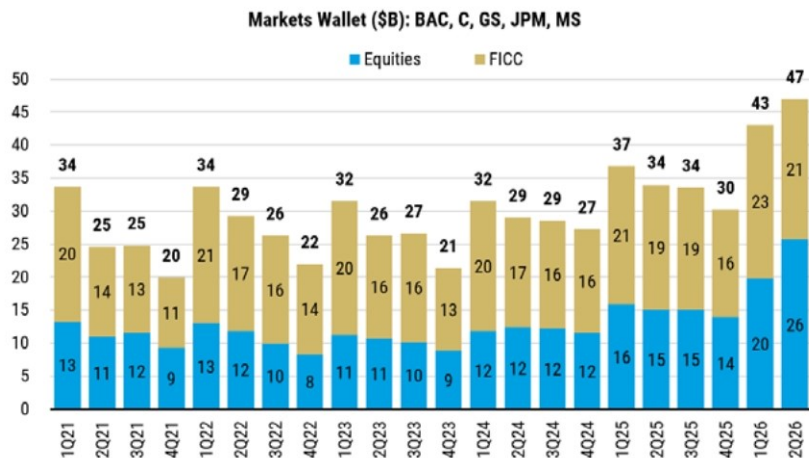
2Q26 Earnings: 15/16 US Banks Beat Consensus EPS, Median Beat of 10%

Ticker	Stock Performance %				EPS Revisions											
	Day Of		Since 7/13		2Q26						2026			2027		
	Abs.	Rel.	Abs.	Rel.	Actual	MSe	Diff (\$)	Diff (%)	Cons.	Actual vs Cons.	MSe Revision	MSe vs. Cons.	Cons. P/E	MSe Revision	MSe vs. Cons.	Cons. P/E
BS	3%	5%	2%	3%	20.99	14.58	-6.41	-14%	14.54	-6.4%	13%	3%	15.6x	-4%	3%	14.8x
C	5%	6%	8%	7%	313	277	0.38	14%	274	15%	0%	0%	11.6x	0%	3%	10.2x
MTB	3%	2%	3%	4%	535	477	0.58	12%	4.66	15%	3%	3%	13.0x	3%	3%	11.8x
WFC	3%	3%	0%	1%	196	168	0.28	14%	172	14%	3%	1%	12.1x	0%	2%	11.0x
FC	1%	0%	1%	2%	123	105	0.18	14%	108	14%	2%	0%	11.5x	0%	3%	10.4x
CUSCH	2%	3%	1%	2%	120	107	0.18	18%	106	13%	8%	5%	13.9x	1%	4%	13.5x
OK	5%	5%	4%	5%	246	218	0.28	13%	223	10%	5%	3%	17.2x	2%	3%	15.5x
JPM	2%	2%	2%	3%	614	567	0.47	8%	559	10%	7%	2%	14.0x	2%	3%	13.7x
STT	0%	0%	2%	3%	365	338	0.27	8%	334	9%	4%	3%	13.5x	2%	4%	12.1x
PNC	1%	1%	0%	1%	485	442	0.43	10%	476	9%	5%	4%	13.3x	0%	2%	11.7x
RI	2%	1%	2%	3%	0.68	0.63	0.05	9%	0.63	8%	2%	3%	12.1x	0%	1%	11.5x
USJ	2%	2%	1%	2%	137	128	0.09	7%	128	7%	7%	3%	12.2x	1%	1%	10.9x
JAC	2%	2%	3%	4%	121	113	0.08	7%	113	7%	5%	2%	13.3x	2%	3%	11.6x
CFC	5%	5%	3%	4%	130	126	0.04	3%	124	5%	1%	2%	13.4x	0%	5%	11.2x
HL	2%	1%	1%	2%	107	103	0.01	1%	0.98	4%	1%	NM	19.0x	3%	3%	17.6x
SBC	0%	1%	0%	1%	0.50	0.54	-0.04	-7%	0.52	-4%	2%	1%	12x	0%	1%	10.4x
Median	1%	1%	2%	2%				9%		10%	4%	3%		1%	3%	

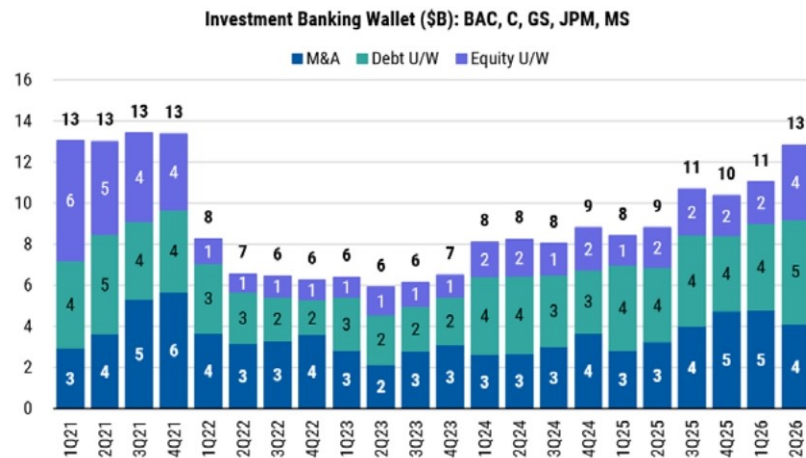
Source: Company data, Morgan Stanley Research, Factset Consensus. Rel. = Relative performance vs S&P 500

Capital Markets Strength Showing with Record Trading; Investment Banking Building as Cycle Broadens Out

Record Equities wallet (+71% y/y) surpassed FICC (+12%) for first time (nominal basis) in 2Q with strength across products and Asia.

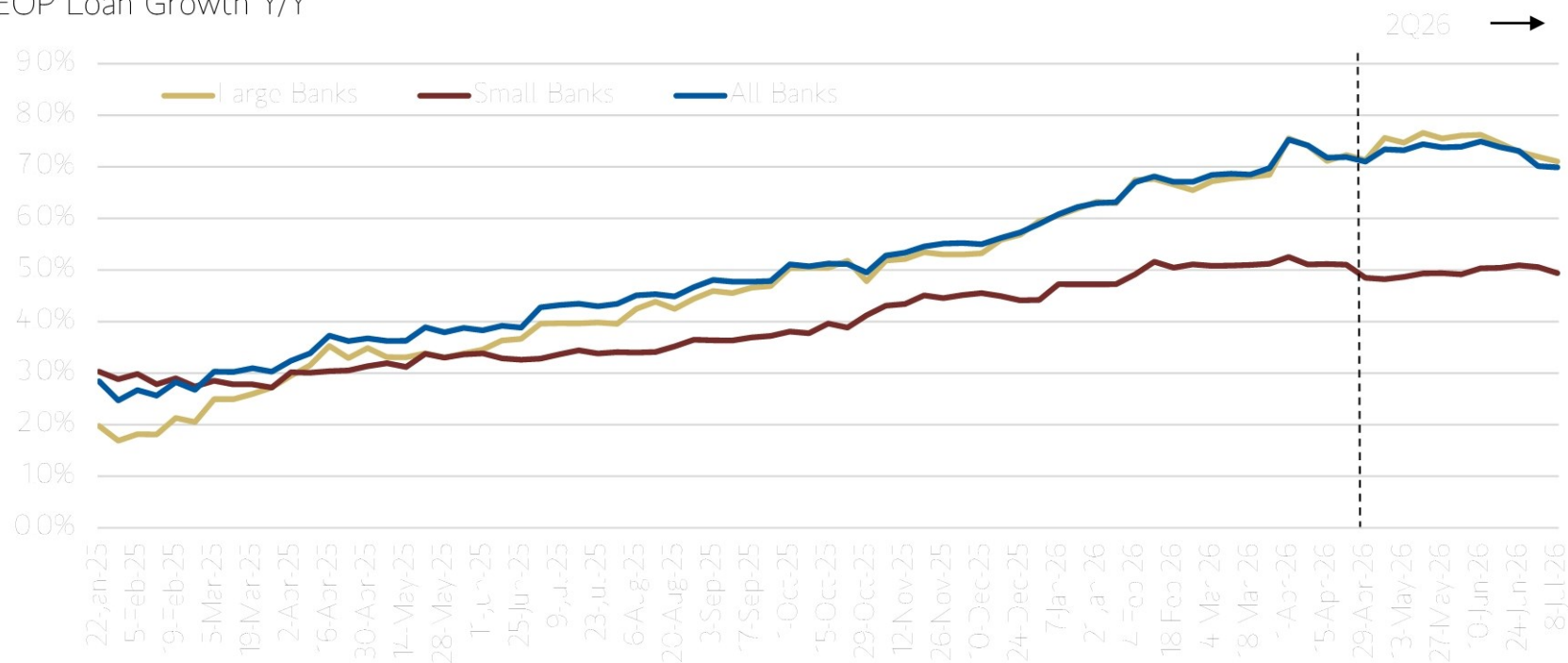


Investment Banking wallet grew 46% y/y in 2Q with ECM (+87%), DCM (+41% to a record), M&A (+27%). Pipelines remain robust.



Loan Growth Strong and Broad Based

EOP Loan Growth Y/Y



Source: Fed H.8, Morgan Stanley Research

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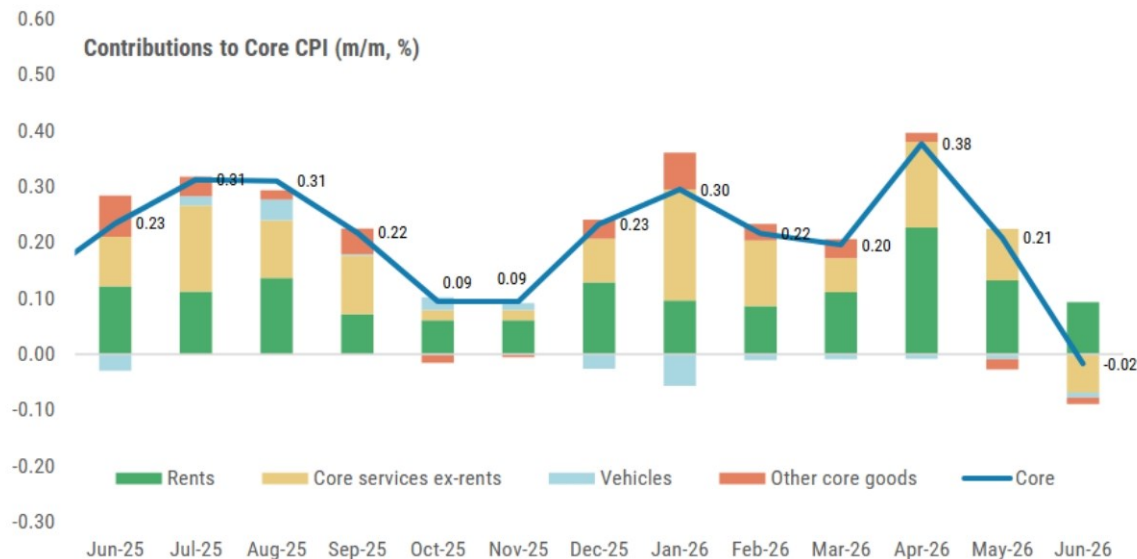
Michael Gapen

Chief US Economist

June Inflation: Not a Messi Print

June inflation is a clear signal about disinflation. We maintain our out-of-consensus call that the Fed will remain on hold this year and cutting next year

Core CPI and components: A hat trick in favor of disinflation. Payback from energy, tariffs, and shelter led to a decline in headline and core inflation in June

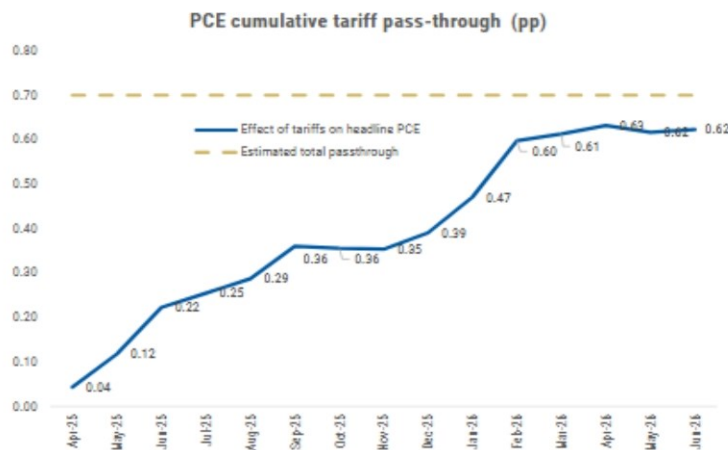


Source: Source BLS, Haver Analytics, Morgan Stanley Research

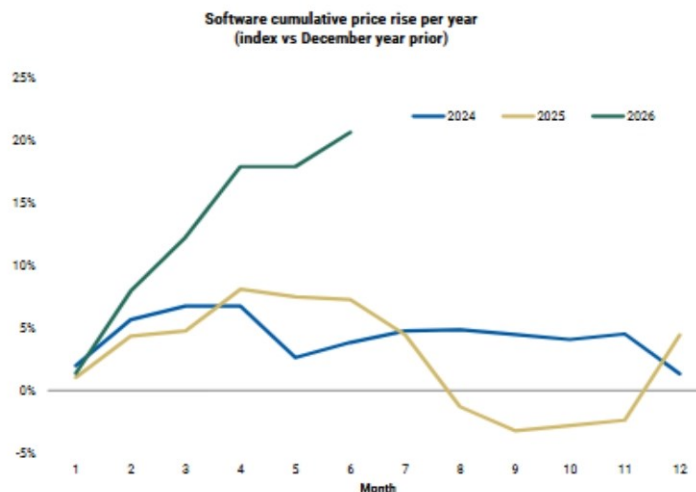
June Inflation: Not a Messi Print

Tariff pass-through is at the finish line already; Software prices pose upside risk

Tariffs have pushed the price level higher by 63bp



Software prices continue to rise



June Inflation: Not a Messi Print

We forecast headline and core June PCE inflation of -0.08% and 0.17% m/m, respectively.

If so, the three- and six-month annualized rates of core PCE inflation rates as of June would be 3.00% and 3.82%, respectively, compared with 3.52% and 4.14% in May.

We maintain our out-of-consensus call for the Fed. Since the conflict in the Middle East began, financial markets have been pricing between one and two 25bp rate hikes by year-end. In our view, the Fed will see inflation running closer to 2.0% on an annualized basis in the second half of the year, allowing them to stand pat. We maintain 50bp of cuts in 2027.

That said, renewed conflict in the Middle East in recent days has pushed WTI back toward \$80/bbl and remains a risk to our baseline outlook for further disinflation.

Section 232 and 301 tariff reviews remain ongoing.

AI-related demand effects could offset tariff disinflation.

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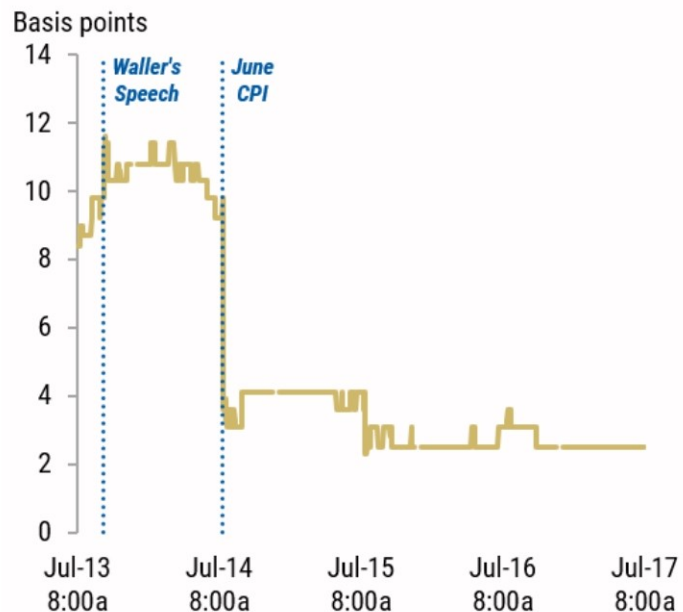
Martin Tobias

US Interest Rates Strategist

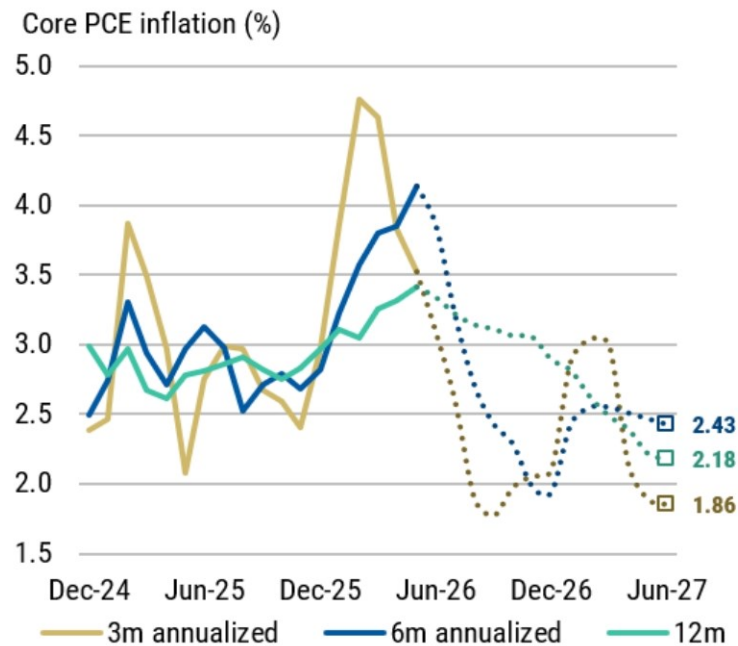
The Odyssey Toward 2 Percent Inflation

Yesterday's price became today's fundamentals for how pricing of the July FOMC meeting behaved, until June CPI set the market free of its Sirens' song.

Market pricing for the July FOMC meeting



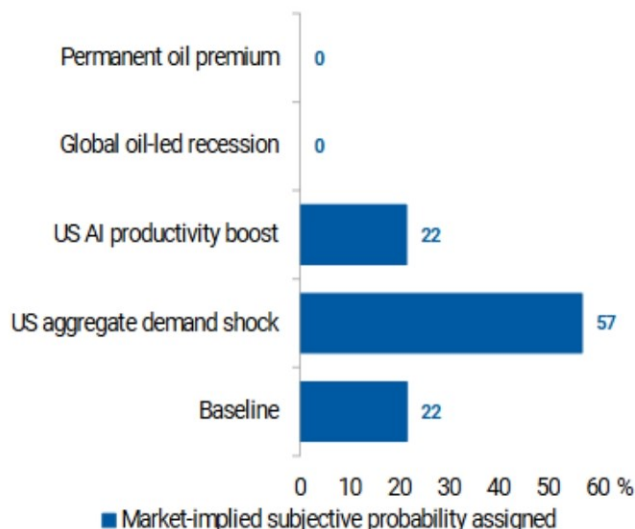
US core PCE inflation and Morgan Stanley forecast



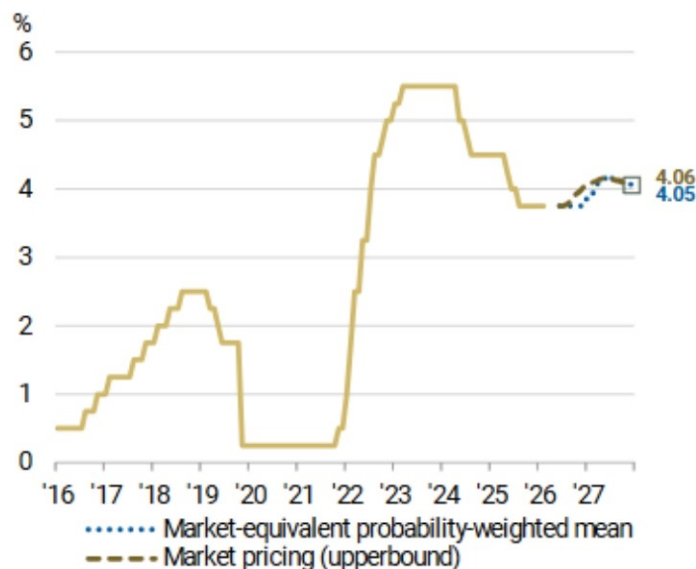
Still Too Much Optimism In The Market Price

The market-implied path for Fed policy prices in just under 50bp of rate hikes by March 2027 - in essence, putting over a 50% probability on a scenario our economists think is a tail risk.

Subjective probabilities that produce a market path most closely aligned to current market-implied path



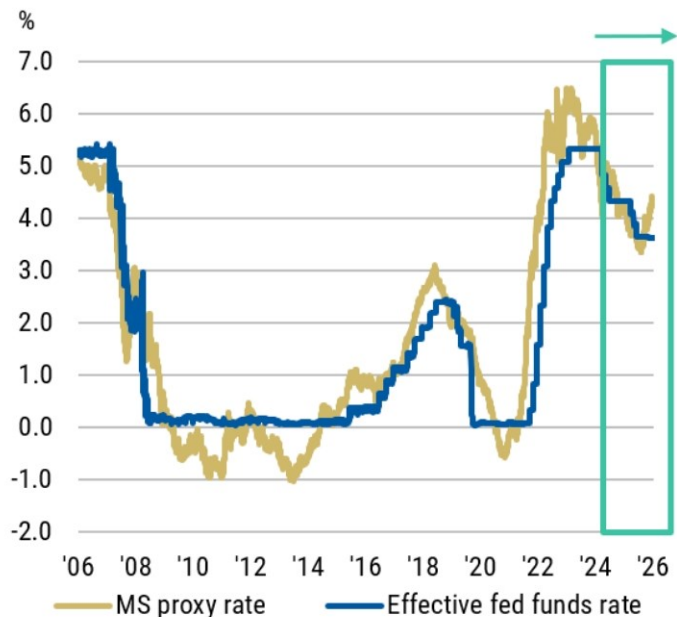
Target fed funds range upper bound and market probability-weighted mean vs. market pricing



Less Tightening Supports Yield Curve Steepeners

Markets have already effectively hiked rates for the Fed, taking the implied fed funds rate path higher. But our more sanguine inflation outlook argues for the proxy rate to down to EFFR.

MS proxy fed funds rate and actual fed funds



MS proxy fed funds rate and actual fed funds



Vishwanath Tirupattur
Chief Fixed Income Strategist

Key Takeaways

- **Early thoughts on Moonshot:** Last week, Chinese AI startup Moonshot released Kimi K3, an open-weight large language model that the company claims delivers frontier-level performance at 40–70% lower cost than comparable US models. While these claims need to be validated and geopolitical, regulatory, and strategic considerations surrounding adoption of Chinese-developed models need to be kept in mind, this underscores the rapid pace of innovation outside the US and raises the possibility that leading-edge AI capabilities may become increasingly accessible at lower cost. The broader read-through is that continued improvements in model efficiency have the potential to reduce the cost of using AI to perform a wide range of economic activity, leading to the classic "Jevons Paradox" that can drive even greater demand for compute (and associated AI infrastructure).
- **Macro takeaways from the strong Q2 bank earnings:** Economic and macro sentiment remains constructive. US consumer continues to be resilient – spending and credit are running better than expected. Commercial loan growth is broadening; consumer loan growth is positive but increasingly selective and overall credit trends remain benign with problem assets declining rather than migrating into losses. The AI investment cycle is still accelerating and the opportunity is spreading across the economy
- **Macro data takeaways – not a “Messi” print:** June inflation is a clear signal about disinflation. We maintain our out-of-consensus call that the Fed will remain on hold this year and cutting twice next year. The Fed will see inflation running closer to 2.0% on an annualized basis in 2H26, allowing them to stand pat.
- **Treasury market view - Odyssey toward 2 percent inflation:** The market-implied path for Fed policy prices is just under 50bp of rate hikes by March 2027 – in essence, putting over a 50% probability on a scenario that our economists think is a tail risk. Less tightening supports yield curve steepeners.

Valuation Methodology and Risks

Interest Rate Strategy				
TRADE	ENTRY LEVEL	ENTRY DATE	RATIONALE	RISKS
Long 2y (Sep '27) UST SOFR swap spread	-21.6	10/3/2025	We expect softer funding conditions and a steepening of the very front end to cause swap spreads in the front end to widen given recent relationships.	Risks to the trade include firmer funding than expected or a stabilizing job market.
Enter 7s30s curve steepener	63bp	7/2/2025	Recent labor data are not consistent with an overheating economy, reducing the risk of near-term Fed rate hikes. Softer trends of inflation data likely continue the trend of more rate hike risk premium to be priced out.	The main risk is if inflation data reignite hawkish Fed tail risks
Enter SFRM7M8 curve steepener	-19.0bp	7/2/2026	Recent labor data are not consistent with an overheating economy, reducing the risk of near-term Fed rate hikes. Softer trends of inflation data likely continue the trend of more rate hike risk premium to be priced out. We think that allows for more outperformance of M7 relative to M8, after underperformance over the past three months when hawkish tail risks dictated pricing of Fed policy. M7M8 steepeners also better complement our core UST 7s30s steepener view.	The main risk is if inflation data reignite hawkish Fed tail risks

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

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